

Commodity Exchange Market Act, 2017

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Commodity Exchange Market Act, 2074 (2017)

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Amending Acts

1. Some Nepal Acts Amending Act relating to the Civil Code, 2075 (2018) 2076.1.2 (April 14, 2019)

Act made to provide for the Commodity Exchange Market

Preamble: Whereas it is desirable to regulate the business relating to the development and operation of commodity exchange market, protection of investors, commodity transactions, clearing and settlement, and warehouse operation,

The Legislature Parliament, pursuant to sub-Article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter ? 1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the ?Commodity Exchange Market Act, 2074.?

(2) This Act shall commence on the ninety-first day after the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Court" means the commercial bench of the court designated by the Government of Nepal by publishing a notice in the Nepal Gazette.

(b) "Chairperson" means the Chairperson of the Board.

(c) "License" means the license pursuant to Section 5.

(d) "Transaction" means the purchase, sale, clearing and settlement, transfer of a commodity derivative, and other related acts in the commodity exchange market.

(e) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules framed under this Act.

(f) "Board" means the Nepal Securities Board established under the prevailing law relating to securities.

(g) "Clearing and Settlement business" means the business relating to clearing and settlement pursuant to Section 26.

(h) "Clearing House" means an institution licensed to carry out clearing and settlement business.

(i) "Investor" means a person who purchases commodities through commodity derivatives on the commodity exchange market, and the term also refers to a person who sells commodities.

(j) "Commodities" means commodities as prescribed that can be traded through commodity derivatives on the commodity exchange market.

(k) "Commodity Exchange Market" means an organized institution licensed pursuant to Section 5.

(l) "Commodity Trading Business" means the business relating to commodity transactions pursuant to sub-section (1) of Section 19.

(m) "Commodity Trader" means an institution licensed to carry out commodity trading business.

(n) "Commodity Derivative" means a commodity contract entered into between a buyer and a seller for the purchase or sale of a commodity at least thirty days later, specifying the price, quantity, quality, and delivery date of the commodity.

(o) "Warehouse" means an institution licensed to operate a warehouse.

(p) "Institution" means a company or organized institution established under the prevailing law.

(q) "Organized Institution" means a Public Company established under the prevailing Company Law or an organized institution established to make a public issue of securities through the securities market.

Chapter ? 2

Provisions Relating to License

3. Prohibition on Transaction without Obtaining License: No person shall operate the following businesses without obtaining a license under this Act:-

(a) Commodity Exchange Market,

(b) Commodity Trading Business,

(c) Clearing and Settlement Business, or

(d) Warehouse. 4. Application for License: (1) An organized institution desiring to operate a commodity exchange market shall submit an application to the Board in the prescribed format, along with prescribed details, documents, and application fee, to obtain a license to operate the commodity exchange market.

(2) An institution desiring to operate a commodity trading, clearing and settlement business, or a warehouse shall submit an application to the Board in the prescribed format, along with prescribed details, documents, and application fee, to obtain a license to operate the commodity trading, clearing and settlement business, or warehouse.

(3) The qualification of the organized institution or institution applying pursuant to sub-section (1) or (2) shall be as prescribed. 5. Grant of License: (1) Upon examining the application and documents received pursuant to Section 4, if the Board is satisfied that it will be in the interest of investors and the general public, the Board shall, within one hundred and twenty days in the case of a commodity exchange market and within ninety days in the case of operating a commodity trading business, clearing and settlement business, or warehouse, collect the prescribed fee and grant a license to the applicant in the prescribed format.

(2) If, upon examining the application and documents pursuant to sub-section (1), it appears that additional details or documents need to be requested from the applicant or further clarification regarding the submitted details or documents is necessary, the Board may order a maximum period of thirty days to request such details or documents or to provide further clarification regarding the submitted details or documents.

(3) If an order is given pursuant to sub-section (2), the concerned applicant shall submit details or documents according to such order or further clarify the submitted details or documents. 6. Refusal to Grant License: Notwithstanding anything contained in Section 5, the Board may refuse to grant a license if it deems it inappropriate from the perspective of the national economy, industrial business development, feasibility of commodity transactions, and protection of investor interests, and shall promptly provide written notice to the applicant stating the grounds and reasons for such refusal. 7. Prescription of Conditions: While granting a license, the Board may prescribe necessary conditions, and it shall be the duty of the licensed institution to comply with such conditions. 8.

Provisions Relating to License Term and Renewal: (1) The term of a license shall be valid for three years. (2) An application for renewal of the license shall be submitted to the Board in the prescribed format, along with the prescribed fee, at least ninety days before the expiry of the license term pursuant to sub-section (1). (3) Notwithstanding anything contained in sub-section (2), an application for renewal may be submitted to the Board in the prescribed format, along with double the fee required for renewal, at least thirty days before the expiry of the license term. (4) Upon receiving an application for renewal pursuant to sub-section (2) or (3), the Board shall renew the license within thirty days of receiving the application and inform the licensed institution accordingly. (5) If the license term expires without renewal under this Section, the license of such institution shall be cancelled pursuant to sub-section (1) of Section 35, and the concerned party shall be informed promptly. 9. Provisions Relating to Infrastructure: (1) A licensed institution shall, within one hundred and eighty days from the date of obtaining the license, make arrangements for the prescribed infrastructure necessary to operate the business for which the license was obtained. Provided that the infrastructure required for operating a warehouse shall be as prescribed by the Board. (2) If the licensed institution cannot arrange the infrastructure within the period under sub-section (1) and requests an extension, the Board may grant an extension for a maximum of ninety days. (3) A licensed institution shall not be allowed to operate transactions without arranging infrastructure according to this Section. (4) If the infrastructure is not arranged even within the extended period under sub-section (2), the license of such institution shall be cancelled pursuant to sub-section (1) of Section 35. 10. Requirement to Maintain Minimum Paid-up Capital and Financial Resources: (1) The minimum paid-up capital of an organized institution operating a commodity exchange market shall be as prescribed by the Board from time to time, not less than fifty crore rupees. (2) The minimum paid-up capital of an institution operating a commodity trading business, clearing and settlement business, or warehouse shall be as prescribed. Chapter ? 3 Commodity Exchange Market 11. Prior Approval of the Board Required: (1) Notwithstanding anything contained in the prevailing law, prior approval of the Board must be obtained before establishing a company to operate a commodity exchange market. (2) Other provisions relating to granting approval under sub-section (1) shall be as prescribed. 12.

Provisions Relating to Directors: (1) A commodity exchange market shall have a maximum of seven directors, including at least two independent directors. (2) The qualification of directors shall be as follows:- (a) Having obtained at least a Master's degree or Chartered Accountancy qualification from a recognized educational institution in Economics, Commerce, Finance, Accounting, Management, or Law, and having at least five years of work experience in the relevant field, (b) Having completed the age of thirty-five years, and (c) Not being disqualified as prescribed. (3) While appointing directors, as far as possible, the representation shall be from the different disciplines mentioned in clause (a) of sub-section (2). (4) For the purpose of appointing independent directors, the commodity exchange market shall recommend a list of potential candidates numbering three times the number of vacant independent director positions and submit it to the Board. (5) The Board shall appoint suitable candidates from among the potential candidates submitted pursuant to sub-section (4) as independent directors. 13. Provisions Relating to Shares of the Commodity Exchange

Market: (1) No person shall acquire more than five percent of the paid-up capital of the company operating the commodity exchange market. (2) Notwithstanding anything contained in sub-section (1), for the purpose of operating a commodity exchange market using foreign capital, skills, and technology, a foreign investor may, as a strategic partner, acquire up to a maximum of fifty-one percent of the paid-up capital of such company. (3) Other provisions relating to strategic partners and share purchase of the company operating the commodity exchange market shall be as prescribed. 14.

Ineligibility to Acquire Shares of the Commodity Exchange Market: (1) The following persons or institutions shall not purchase shares of the commodity exchange market:- (a) A person who has been subject to insolvency proceedings and twelve years have not elapsed, (b) A person who is a shareholder of another commodity exchange market, (c) A person who is incompetent to contract under the prevailing law, (d) A person who is on a blacklist under the prevailing law or from which three years have not elapsed since removal from such list, (e) In the case of a natural person, a person convicted by a final court decision for an offense related to corruption, money laundering, and financial investment in terrorist activities, (f) A person who has unpaid government dues, (g) A person who has been punished for a criminal offense involving moral turpitude, (h) Being in any other condition as prescribed. (2) If a person or institution ineligible to purchase shares under sub-section (1) acquires shares in any manner, or if a situation under sub-section (1) arises after purchasing shares, such shares shall be sold or transferred to another person within thirty-five days. (3) If the shares are not sold or transferred within the period under sub-section (2), the Board shall confiscate such shares. (4) The Board shall sell the shares confiscated under sub-section (3) as prescribed. 15.

Functions, Duties, and Powers of the Commodity Exchange Market: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the commodity exchange market shall be as follows:- (a) To provide a market, place, or facility for investors to continuously purchase, sell, or exchange commodities in one place through commodity derivatives, (b) To grant membership to commodity traders, (c) To list or cause to list commodities for trading, (d) To conduct or cause to conduct commodity transactions in a transparent, fair, and regular manner, (e) To monitor and supervise or cause to monitor and supervise the activities of commodity traders, (f) To adopt necessary measures to protect the trading system of the commodity exchange market or to mitigate its potential risks, (g) To implement or cause to implement directives given by the Board, (h) To perform or cause to perform other functions as prescribed. 16. Determination of Limits for Commodities or Transactions: (1) The limit of commodities that can be traded at one time shall be as determined by the Board. (2) While determining the limit of commodities, it may be done separately based on the type of such commodity or transaction. (3) The limit of commodities a natural person or institution may hold in their ownership shall be as prescribed. 17.

Establishment of an Investor Protection Fund: (1) The commodity exchange market shall establish an Investor Protection Fund to protect investors from potential systemic risks. (2) Provisions relating to the establishment and operation of the Investor Protection Fund shall be as prescribed. 18. Provisions Relating to the Chief Executive Officer of the Commodity Exchange Market: The Board of Directors of the commodity exchange market shall appoint a person possessing the following qualifications to the position of Chief Executive Officer to act as the administrative head:- (a) Having obtained at least a Master's degree from a recognized educational institution in Economics, Commerce, Finance, Accounting, Management, or Law, and having at least seven years of work experience in the relevant field, (b) Not being disqualified as prescribed.

Chapter ? 4 Commodity Trading Business 19. Businesses that a Commodity Trader may Operate: (1) A commodity trader may operate the following businesses:- (a) Market making business, (b) Investment management business, (c) Investment advisory business, (d) Custodian service business, (e) Commodity brokerage business, (f) Commodity trading business, (g) Other commodity trading business as prescribed. (2)

For the purpose of sub-section (1), a commodity trader may be classified as follows:- (a) Market maker, (b) Investment manager, (c) Investment advisor, (d) Custodian, (e) Commodity broker, (f) Commodity trader, (g) Other commodity trader as prescribed. (3) Other provisions relating to commodity trading business shall be as prescribed. 20. Membership Requirement for Commodity Trader: (1) A commodity trader as prescribed shall obtain membership of the commodity exchange market to operate a commodity trading business. (2) The procedure for obtaining membership under sub-section (1), membership fee, and other provisions shall be as mentioned in the regulations of the concerned commodity exchange market. 21. Provisions Relating to Shareholders and Ownership: (1) A shareholder of one commodity trader or a member of his immediate family shall not acquire shares of another commodity trader. (2) Other provisions relating to the shares or ownership, sale, or transfer of a commodity trader shall be as prescribed. 22. Agreement Required: A commodity trader shall enter into an agreement as prescribed with the investor before conducting transactions. 23. Record Keeping Requirement: (1) A commodity trader shall obtain documents or details that genuinely reveal the identity of the investor before conducting transactions. (2) A commodity trader shall maintain records of documents or details revealing the investor's identity, details of financial transactions related to the trade, or other activities as prescribed. 24. Insurance Requirement: A commodity trader shall arrange insurance for the commodity trading business as specified by the Board. Chapter ? 5 Clearing and Settlement Business 25.

Appointment of a Clearing House: (1) The commodity exchange market shall appoint a clearing house for the purpose of clearing and settlement. (2) While appointing a clearing house, the commodity exchange market shall enter into an agreement as prescribed with the clearing house, and a copy of the agreement shall be submitted by the commodity exchange market to the Board within fifteen days of making such agreement. (3) The appointment of a clearing house and other related provisions shall be as prescribed. 26. Transactions Conducted by the Clearing House: (1) The clearing house shall clear and settle transactions purchased or sold pursuant to commodity derivatives on the commodity exchange market. (2) Other transactions relating to clearing and settlement conducted by the clearing house shall be as prescribed. Chapter ? 6 Warehouse 27. Designation of Warehouse: (1) For the purpose of conducting transactions pursuant to Section 28, the commodity exchange market may designate an institution licensed under Section 5 as a warehouse. (2) While designating a warehouse, the commodity exchange market shall enter into an agreement as prescribed with the warehouse, and a copy of the agreement shall be submitted by the commodity exchange market to the Board within fifteen days of making such agreement. (3) Other provisions relating to the designation of a warehouse by the commodity exchange market shall be as prescribed. 28. Transactions that a Warehouse may Conduct: (1) A warehouse may conduct the following transactions:- (a) To store commodities related to transactions conducted on the commodity exchange market or to issue certificates related thereto, (b) To preserve the commodities stored pursuant to clause (a) and to transfer such commodities after the transaction. (2) Other provisions relating to the operation of a warehouse shall be as prescribed. Chapter ? 7 Functions, Duties, and Powers of the Board 29.

Functions, Duties, and Powers of the Board: In addition to the functions, duties, and powers mentioned elsewhere in the prevailing law and this Act, the functions, duties, and powers of the Board shall be as follows:- (a) To advise the Government of Nepal on matters related to the development of the commodity exchange market and commodity transactions, (b) To approve long-term and short-term plans and policies for the development of the commodity exchange market, (c) To conduct feasibility studies related to the operation of the commodity exchange market, (d) To register commodities and commodity derivatives that can be traded on the commodity exchange market, (e) To order the closure of the commodity exchange market or suspension of transactions of a licensed institution for a specified period, (f) To direct the

concerned commodity exchange market to list or delist a commodity or to freeze a transaction, (g) To order the suspension of transactions until a problem in the electronic trading system of the commodity exchange market is resolved or improved, if necessary, (h) To regularize and systematize the purchase, sale, and transfer of commodities and commodity derivatives registered with the Board, (i) To regulate and monitor the activities of licensed institutions and parties involved in transactions, (j) To approve the regulations of licensed institutions, (k) To direct the concerned licensed institution to make necessary arrangements in its regulations to protect the interests of investors, (l) To coordinate with other regulatory bodies for the supervision and regulation of commodities or commodity derivatives, (m) To give necessary directives to improve the financial and managerial aspects of licensed institutions, (n) To perform other functions as prescribed. 30.

Board may issue Orders or Directives: (1) The Board may, considering the state of the commodity exchange market and transactions and the interest of investors, issue necessary orders or directives to a licensed institution or a party related to the transaction to do or refrain from doing any act according to this Act or the rules or regulations made under this Act. (2) If a director, official, or employee of a licensed institution violates this Act or the rules or regulations made under this Act or an order or directive given by the Board thereunder, the Board may order the concerned licensed institution to take necessary action against such director, official, or employee. (3) Based on the inspection or supervision report submitted pursuant to Section 32, the Board may direct a licensed institution or a party related to the transaction or a director or employee of the concerned institution to do or refrain from doing any act according to this Act or the rules or regulations made under this Act. Chapter ? 8 Regulation, Inspection, and Supervision 31. Power of Regulation: (1) The Board shall have full authority to regulate, or cause to regulate, licensed institutions and parties related to transactions conducted through the commodity exchange market. (2) For the purpose of regulation under sub-section (1), the Board may issue orders or directives or publish notices or circulars on matters it deems necessary. 32.

Power of Inspection and Supervision: (1) The Board may, at any time, inspect or supervise, or cause to inspect or supervise, whether a licensed institution, while conducting transactions, has complied with this Act or the rules, regulations, or orders or directives issued thereunder. (2) The Board may, by deputing an expert team or an officer employee of the Board as necessary, conduct on-site inspection and supervision of a licensed institution or off-site inspection and supervision by calling for information, data, documents, records, and details available at the concerned licensed institution. (3) For the purpose of inspection and supervision under sub-section (2), the Board may form an expert team as necessary, and the facility to be received by the expert team shall be as prescribed by the Board at the time of forming such team. (4) While inspecting and supervising a licensed institution, the expert team or officer employee of the Board under sub-section (2) may inspect and supervise information, data, documents, records, and details related to the transactions of the concerned licensed institution or make inquiries with the concerned person. (5) In the course of inspection and supervision of a licensed institution, if the expert team or officer employee of the Board conducting the inspection and supervision deems necessary, it may seal information, data, documents, records, and details related to the transactions of the licensed institution, keep a record thereof, and either retain them itself or have them kept in the custody of the licensed institution. (6) The expert team or officer employee of the Board shall submit a report of the inspection or supervision to the Board within fifteen days from the date of completion of the inspection or supervision of the licensed institution. (7) Other provisions relating to inspection and supervision shall be as prescribed. 33. Power to Require Information, Data, and Details: (1) The Board may require any information, data, or details related to transactions from a licensed institution or a person related to the transaction. (2) In the course of inspection and supervision pursuant to Section 32, the

Board or a person authorized by the Board may require any information, data, or details it deems necessary from the concerned licensed institution or person. (3) It shall be the duty of the concerned licensed institution or person to provide the information, data, or details requested pursuant to sub-section (1) or (2). 34.

Power to Suspend License: (1) If a licensed institution acts contrary to this Act or the rules or regulations made under this Act, fails to comply with an order or directive given by the Board, acts against the interests of investors, or fails to submit financial and transaction-related details required to be submitted to the Board, the Board may suspend the license of such institution for a specified period. (2) A licensed institution whose license is suspended under sub-section (1) shall not conduct any transactions during the period of suspension. 35. Provisions Relating to Cancellation of License: (1) The Board shall cancel the license of a licensed institution in the following circumstances:- (a) If the license term expires without renewal under Section 8, (b) If infrastructure is not arranged under Section 9, (c) If the commodity exchange market, commodity trading business, clearing and settlement business, or warehouse ceases operation, (d) If it becomes insolvent under the prevailing law or is dissolved in any manner, or (e) If an application is submitted for cancellation of the license. (2) The Board may cancel the license of a licensed institution in the following circumstances:- (a) If the conditions specified in the license are violated, (b) If this Act or the rules or regulations made under this Act are violated, (c) If the commodity exchange market, commodity trading business, clearing and settlement business, or warehouse is operated in a manner detrimental to the interests of investors, (d) If an order or directive given by the Board is repeatedly violated, (e) If financial and transaction-related details requested by the Board are not submitted within the period of suspension, or (f) If amounts payable under this Act are not paid. (3) Before canceling a license under sub-section (2), the licensed institution shall be given an opportunity to be heard. (4) The cancellation of a license under sub-sections (1) and (2) shall not affect any liability arising from the activities conducted by the licensed institution prior to the cancellation. 36.

37. Power to Impose Fines: (1) The Board shall impose fines as follows on a person who performs the following acts without obtaining a license under Section 5:-

- (a) Operating a commodity exchange market or using the name of a commodity exchange market: from ten lakh rupees to fifty lakh rupees,
- (b) Operating a clearing and settlement business or a warehouse: from two lakh rupees to ten lakh rupees,
- (c) Operating a commodity trading business: from one lakh rupees to five lakh rupees.

(2) If a licensed institution operates transactions contrary to sub-section (3) of Section 9, the Board shall impose a fine of from fifty thousand rupees to three lakh rupees on such institution.

(3) If a licensed institution fails to provide notices and details or submit reports within the period under Section 48 or 49, the Board shall impose a fine of one thousand rupees per day from the day following the expiry of the period for submitting such notices, details, or reports.

(4) The Board may impose a fine of from one lakh rupees to five lakh rupees on a licensed institution that fails to comply with an order, directive, or prescribed condition given under this Act or the rules made under this Act.

(5) The Board may impose a fine of from fifty thousand rupees to two lakh rupees on a director, official, or employee of a licensed institution who fails to submit information, data, documents, records, and details requested in the course of inspection, supervision, or inquiry by the Board under this Act within the prescribed time.

(6) The Board may impose a fine of from two lakh rupees to ten lakh rupees on a licensed institution that fails to maintain or prepare accounts, books, details, or any other such documents required to be maintained, prepared, or submitted under this Act or the rules or regulations made under this Act.

(7) If a licensed institution causes or causes to cause loss or damage to an investor by acting contrary to this Act or the rules or regulations made under this Act or an order or directive given by the Board, the Board shall impose a fine of from ten lakh rupees to fifty lakh rupees on such licensed institution and also order it to compensate the investor for the amount of such loss or damage.

(8) The Board shall impose a fine of from twenty-five thousand rupees to one lakh rupees on a licensed institution that fails to comply with the code of conduct under Section 60. Chapter ? 9

Offenses and Penalties

38.

Limitation for Filing Complaints: (1) For an offense punishable under this Act, a complaint must be filed within one year from the date of knowledge of the commission or intended commission of such offense. (2) A case must be filed in the concerned Court within six months from the date of the complaint under sub-section (1).

39. Acts Deemed to Constitute an Offense: If a person performs or causes to perform the following acts, it shall be deemed to constitute an offense under this Act:- (a) Manipulating the price of a commodity by creating artificial or false transactions or circular trading, or by hoarding a large quantity of a commodity for an unusually long period to prevent others from trading in such derivative, thereby stabilizing, increasing, decreasing, or causing frequent fluctuations in the price, (b) Influencing the commodity exchange market by directly or indirectly affecting transactions or, with the intent to prevent the purchase or sale of a commodity derivative, acting alone or in collusion with others to increase, decrease, or stabilize the market price of the commodity derivative, (c) Publishing false, misleading, or incorrect details or details relating to future forecasts, or making promises based on such details, or conducting transactions merely to show active trading in a commodity on the commodity exchange market, or fraudulently concealing any fact or information, (d) Using deceptive technology with the intent to cause loss or damage to someone or to gain wrongful advantage from someone, or misusing technology with such intent, or devising a scheme or doing any act, or engaging in fraudulent transactions by deceiving someone, (e) Destroying, falsifying, or hiding any instrument, detail, or record maintained by a person under this Act or the rules or regulations made under this Act, (f) Causing damage to or misusing the electronic trading system established under Section 44 by a licensed institution with the intent to cause loss or damage to someone, (g) Aiding or abetting any person to perform the acts mentioned in clauses (a) to (f). 40.

Penalties: (1) A person committing the following offenses shall be liable to the following penalties:- (a) A person committing an offense under clause (a) of Section 39 shall be liable to confiscation of the proceeds if identified, a fine equal to the proceeds, and if the proceeds are not identified, a fine of up to five lakh rupees and imprisonment for up to five years. (b) A person committing an offense under clause (b) of Section 39 shall be liable to confiscation of the proceeds if identified, a fine equal to the proceeds, and if the proceeds are not identified, a fine of up to four lakh rupees and imprisonment for up to four years. (c) A person committing an offense under clause (c), (d), or (e) of Section 39 shall be liable to confiscation of the proceeds if identified, a fine equal to the proceeds, and if the proceeds are not identified, a fine of up to three lakh rupees and imprisonment for up to three years. (d) A person committing an offense under clause (f) of Section 39 shall be liable to confiscation of the proceeds if identified, a fine equal to the proceeds, and if the proceeds are not identified, a fine of up to ten lakh rupees and imprisonment for up to one year. (e) A person

committing an offense under clause (g) of Section 39 shall be liable to half the penalty imposed on the principal offender. (2) If a person commits an offense under Section 39 using a licensed institution, the person committing such offense, director, official, or employee of the licensed institution shall be liable to the penalty under sub-section (1). (3) If the director, official, or employee of the licensed institution under sub-section (2) cannot be identified, the director, official, or employee who was the head of the licensed institution at the time of the commission of such offense shall be liable to the penalty under sub-section (1).

Chapter ? 10 Miscellaneous 41. Provisions Relating to Fund: (1) In addition to the amounts received under the prevailing law relating to securities, the Fund of the Board shall consist of the following amounts received by the Board under this Act:- (a) Amount received as application fee, (b) Amount received as license fee, (c) Amount received as license renewal fee, (d) Amount received as fines, and (e) Any other amount received under this Act. (2) The use of the amounts received in the Fund under sub-section (1), its accounting, and audit provisions shall be as provided in the prevailing law relating to securities. 42.

Appointment of Auditor: (1) If a licensed institution fails to get its accounts audited within the prescribed period, or if an auditor cannot be appointed for any other reason, and if it appears necessary to audit the accounts, books, cash, and inventory assets of such licensed institution, the Board may appoint an auditor and cause the audit to be conducted. (2) The remuneration of the auditor appointed under sub-section (1) shall be borne by the concerned licensed institution. 43. Provisions Relating to Service Fee or Regulatory Fee: (1) The service fee a licensed institution may charge for providing services shall be as prescribed. (2) The amount as prescribed of the total service fee received by a licensed institution in a fiscal year under sub-section (1) shall be paid to the Board as a regulatory fee. 44. Establishment of Electronic Trading System: (1) A licensed institution shall establish an electronic trading system to enable its transactions to be conducted electronically. (2) The electronic trading system shall be secure, suitable, and reliable. (3) The Board may audit, or cause to audit, the electronic trading system as necessary. (4) If any type of improvement in the electronic trading system appears necessary, the Board may issue necessary directives. (5) It shall be the duty of the concerned licensed institution to comply with the directives received under sub-section (4). 45. Special Provisions Relating to Commodity Derivatives: (1) The provisions, conditions, and standards applicable to the trading of commodity derivatives (trading of options) made with special provisions regarding rights and obligations for future purchase or sale of commodities shall be as prescribed. (2) Until such provisions, conditions, and standards under sub-section (1) are applied, trading of such commodity derivatives (trading of options) shall not be permitted. 46. Permissible Transactions on Foreign Commodity Exchange Markets: A commodity exchange market maker, a businessperson acting as the counterparty of a transaction, or a businessperson conducting business of such nature may, in order to manage the risk they must bear by conducting transactions under this Act, purchase or sell commodity derivatives on foreign commodity exchange markets as prescribed. 47. Approval Required for Transactions in Foreign Currency: If it is necessary to conduct commodity transactions in foreign currency, such transactions shall be conducted only after obtaining approval from the concerned body under the prevailing law relating to foreign exchange. 48. Provision of Notice and Details: A licensed institution shall provide the Board with notices and details relating to its transactions or business, as prescribed, within the time as prescribed. 49.

Submission of Report: A licensed institution shall, within four months of the end of each fiscal year, prepare and submit an annual report to the Board, including details of its activities and commodity transactions conducted during that fiscal year. 50. Publication of Details: The Board shall publish details of its regulatory, inspection, and supervision activities, whether the licensed institution has complied with orders or directives given by the Board under this Act or the rules, regulations, or directives made under this Act, and the notices and details submitted by the licensed institution to the Board under Section 48, as prescribed. 51.

Compliance with Orders or Directives: It shall be the duty of the concerned party to comply with the orders or directives given by the Board under this Act or the rules made under this Act. 52. Recovery of Fines: (1) The amount of the fine imposed under Section 37 shall be paid by the concerned person to the Board within thirty days of such imposition. (2) If the fine amount is not paid within thirty days, the Board may recover it from the movable and immovable property of such person in the manner of recovery of government dues. 53. Right to Appeal: A party aggrieved by the decision to cancel a license under sub-section (2) of Section 35, or to take action under Section 36, or to impose a fine under Section 37, may appeal to the High Court within thirty-five days from the date of knowledge of such decision of the Board. 54. Government of Nepal as Plaintiff: (1) A case relating to an offense under Section 39 shall be filed with the Government of Nepal as the plaintiff, and such offense shall be deemed to be included in Schedule-1 of this text was transformed by Some Nepal Acts Amending, Consolidating, Adjusting and Repealing Act, 2074 and amended by Some Nepal Acts Amending Act relating to the Civil Code, 2075.the Criminal Procedure Code, 2074. (2) The Board shall provide necessary assistance to the concerned authority while investigating or prosecuting the offense under sub-section (1). 55. Government of Nepal may Issue Directives: The Government of Nepal may, from time to time, issue necessary directives to the Board on policy matters such as the commodity exchange market, commodity trading business, clearing and settlement business, warehouse operation, development of the commodity exchange market, and protection of the interests of investors, and it shall be the duty of the Board to comply with such directives. 56.